

Net Revenue Retention

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Expansion minus churn from AI features

PROFESSIONAL DEFINITION

Net Revenue Retention (NRR) measures the revenue retained and expanded from existing customers over a period, net of churn and contraction — a key indicator of compounding, durable growth.

WHO DEVELOPED IT

A metric central to modern SaaS and subscription analysis, emphasised by growth investors and operators.

WHY IT WAS DEVELOPED

It was developed to capture whether a customer base grows on its own through expansion, independent of new acquisition.

FIGURE 1 · NET REVENUE RETENTION

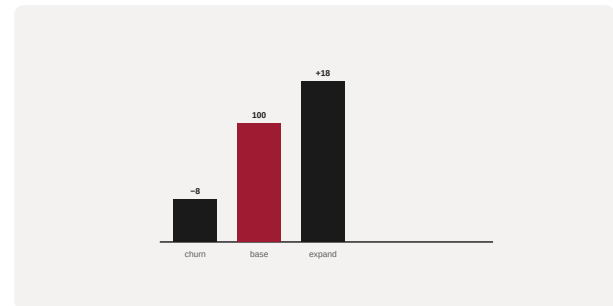


Figure 1. A schematic of the Net Revenue Retention as applied in BARBM312 (illustrative).

HOW IT IS USED

Starting revenue is adjusted for expansion, contraction and churn; NRR above 100% indicates self-expanding revenue, and AI features are assessed by their NRR contribution.

WHEN IT IS USED

When evaluating durable growth, AI feature monetisation and investor readiness.

BY WHOM IT IS USED

Finance, growth leaders and investors.

INNOVATION RELATIVE TO THE PREDECESSOR TOOL

It isolates the compounding power of the existing base, a stronger signal of durable AI-product value than gross growth.

RELATED FRAMEWORKS IN THIS COURSE

CAC : LTV Ratio · Slibrary 8

Retention / Churn Cohort · Slibrary 8

Pirate Metrics (AARRR) · Slibrary 8

Growth Loop · Slibrary 8

SOURCES (HARVARD REFERENCING STYLE)

Skok, D. (2017) 'SaaS metrics that matter', forEntrepreneurs.

Bain & Company (2021) 'The economics of net revenue retention'.